OFFERING MEMORANDUM

Gatewood Apartments | Aurora, CO

Property	Gatewood Apartments
Location	2231 Quarry Drive, Aurora, CO 61964
Property Type	Multifamily
Size	139 apartment homes
Year Built	2005
Offering	Unpriced - Offers Due May 19, 2020

Investment Overview

Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Distributions to investors for the quarter were paid at an annualized rate of 3.2% on contributed capital. Projected levered IRR is 6.3% with an equity multiple of 1.39x over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Market Overview

Investor demand for Multifamily assets in Aurora remains strong with recent trades at capitalization rates between 8.01% and 8.01%. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Multifamily product stands at 14.0%, down from 6.3% two years ago. Gatewood Apartments is located in Aurora, CO, a market that has recorded 9.6% population growth over the last five years. The Aurora Multifamily market has experienced absorption of 2500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Multifamily product stands at 9.1%, down from 3.9% two years ago. Resident turnover has averaged 4.9% annually with renewal retention above 89.2%. Rent growth in the submarket has averaged 5.4% annually over the past 4 years. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Investor Distributions

Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Resident turnover has averaged 6.6% annually with renewal retention above 94.9%. Projected levered IRR is 8.3% with an equity multiple of 1.28x over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 6.5% annually with renewal retention above 96.4%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Supply and Demand

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Multifamily assets in Aurora remains strong with recent trades at capitalization rates between 6.03% and 6.03%. The Aurora Multifamily market has experienced absorption of 2100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Multifamily product stands at 8.4%, down from 3.4% two years ago. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Employment growth is led by healthcare, logistics, education and professional services sectors.

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Business Plan Progress

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Distributions to investors for the quarter were paid at an annualized rate of 6.1% on contributed capital. Projected levered IRR is 2.4% with an equity multiple of 1.36x over the hold period. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns.

The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 4.5% on contributed capital. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Resident turnover has averaged 11.8% annually with renewal retention above 93.4%. Projected levered IRR is 13.5% with an equity multiple of 1.36x over the hold period.

Demographics and Employment

Gatewood Apartments is located in Aurora, CO, a market that has recorded 12.6% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Multifamily product stands at 9.2%, down from 3.9% two years ago. Rent growth in the submarket has averaged 5.7% annually over the past 6 years. Resident turnover has averaged 7.4% annually with renewal retention above 88.6%.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Median household income within a 4-mile radius of the property is approximately $214,000 and has grown 12.4% annually. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Market vacancy for comparable Multifamily product stands at 8.1%, down from 5.5% two years ago. Gatewood Apartments is located in Aurora, CO, a market that has recorded 8.2% population growth over the last five years.

Investor Distributions

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 4.7% on contributed capital. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Distributions to investors for the quarter were paid at an annualized rate of 3.6% on contributed capital. Resident turnover has averaged 7.5% annually with renewal retention above 96.9%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Submarket Analysis

Market vacancy for comparable Multifamily product stands at 7.9%, down from 7.7% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Rent growth in the submarket has averaged 7.2% annually over the past 9 years. Median household income within a 8-mile radius of the property is approximately $78,000 and has grown 11.5% annually.

Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. The Aurora Multifamily market has experienced absorption of 2300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Gatewood Apartments is located in Aurora, CO, a market that has recorded 6.2% population growth over the last five years. Rent growth in the submarket has averaged 5.0% annually over the past 12 years. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Investment Overview

The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Projected levered IRR is 12.8% with an equity multiple of 1.23x over the hold period. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Resident turnover has averaged 2.3% annually with renewal retention above 94.8%.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 6.8% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 13.6% with an equity multiple of 1.45x over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Demographics and Employment

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Brookside Apartments	Oklahoma City, OK	06/18/2022	93	$31,829,569	$228,990	7.46%	1976
Birchwood Terrace	Boise, ID	08/28/2024	91	$29,068,527	$209,126	6.46%	1970
Lantern Lofts	Columbus, OH	11/15/2024	177	$15,748,983	$113,302	5.62%	2015
Raven Lofts	Austin, TX	02/08/2023	107	$21,907,523	$157,608	7.83%	1999
Copper Villas	Dallas, TX	04/10/2025	165	$21,636,562	$155,659	7.59%	1995
Lockwood Commons	Dallas, TX	04/07/2022	170	$24,315,991	$174,935	7.81%	1965
Tidewater Flats	Riverside, CA	01/06/2026	72	$10,453,625	$75,206	5.60%	2003
Redwood Residences	Grand Rapids, MI	07/11/2022	164	$31,914,429	$229,600	7.82%	2013
Everett Lofts	Buffalo, NY	03/09/2026	188	$24,783,500	$178,299	5.93%	1989
Stonebridge Villas	Boise, ID	12/21/2023	88	$27,634,599	$198,810	6.89%	2004
Pelican Flats	Cincinnati, OH	07/22/2024	144	$21,614,956	$155,503	6.83%	2007
Birchwood Residences	Indianapolis, IN	05/11/2022	174	$33,192,716	$238,797	5.62%	1982
Summit Villas	Albuquerque, NM	10/02/2022	198	$14,485,172	$104,210	7.50%	2007
Pinecrest Residences	Columbus, OH	07/14/2024	128	$30,584,430	$220,032	5.56%	1994
Keystone Commons	Pittsburgh, PA	05/23/2026	118	$31,199,437	$224,456	7.31%	2017
Timberline Residences	Cincinnati, OH	03/18/2024	87	$23,054,316	$165,858	6.28%	1994
Valley Villas	St. Louis, MO	09/18/2024	134	$15,266,668	$109,832	6.10%	1982
Alder Apartments	Salt Lake City, UT	01/03/2025	208	$16,542,508	$119,011	5.06%	1983
Highland Commons	Omaha, NE	09/26/2025	83	$16,598,811	$119,416	7.27%	2008
Indigo Apartments	Savannah, GA	05/01/2022	152	$21,159,197	$152,224	5.79%	1995
Marlow Villas	Riverside, CA	04/23/2023	80	$33,039,932	$237,697	6.00%	2008
Lockwood Terrace	Boise, ID	10/26/2023	77	$33,143,095	$238,440	5.57%	2014
Sterling Commons	San Antonio, TX	10/22/2025	207	$29,141,843	$209,654	6.34%	2005
Banyan Flats	Baltimore, MD	10/24/2024	135	$18,653,788	$134,200	6.99%	1973
Maple Apartments	Seattle, WA	06/13/2024	144	$18,157,246	$130,628	7.40%	1972
Kestrel Apartments	Columbus, OH	12/01/2023	182	$17,984,426	$129,384	7.27%	2003
Yarrow Flats	Portland, OR	08/09/2022	73	$21,532,480	$154,910	5.42%	2011
Pinecrest Flats	Milwaukee, WI	12/22/2025	82	$28,922,028	$208,072	5.72%	1971
Osprey Villas	Las Vegas, NV	05/15/2023	140	$26,382,844	$189,805	7.68%	2008
Verde Villas	Atlanta, GA	07/27/2022	203	$20,444,505	$147,083	7.49%	2016
Marlow Lofts	Louisville, KY	10/31/2022	148	$9,888,508	$71,140	6.55%	1999
Cedar Commons	Richmond, VA	09/09/2022	120	$10,635,357	$76,513	7.91%	2007
Riverbend Commons	Richmond, VA	09/12/2023	192	$28,022,462	$201,600	6.09%	2011
Raven Apartments	Salt Lake City, UT	03/22/2026	141	$9,951,234	$71,592	6.20%	1978
Indigo Commons	Buffalo, NY	03/05/2024	134	$14,789,507	$106,399	6.27%	2006
Jasper Commons	Naperville, IL	07/09/2022	144	$20,540,362	$147,772	6.46%	1970
Sable Commons	Salt Lake City, UT	09/19/2025	121	$23,367,696	$168,113	7.98%	1987
Cobalt Flats	Minneapolis, MN	05/25/2025	127	$22,851,009	$164,396	7.72%	2021
Prairie Villas	Birmingham, AL	08/26/2025	167	$24,749,653	$178,055	5.24%	2004
Riverbend Residences	Seattle, WA	08/24/2025	120	$30,270,685	$217,775	7.84%	1992
Heritage Flats	Baltimore, MD	04/20/2026	176	$17,410,718	$125,257	7.87%	1981
Stonebridge Residences	Houston, TX	03/26/2026	97	$13,512,768	$97,214	5.07%	1968
Northgate Terrace	Albany, NY	07/30/2025	189	$29,553,485	$212,615	5.70%	1983

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Construction Details

The roof is a 7-year membrane system with an estimated remaining useful life of 11 years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Common area interiors have been refreshed within the last 6 years and are in average to good condition. Gatewood Apartments was originally constructed in 2005 and consists of 139 apartment homes in a building of 23 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Gatewood Apartments was originally constructed in 2005 and consists of 139 apartment homes in a building of 18 stories. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Common area interiors have been refreshed within the last 9 years and are in average to good condition.

Income and Expense Review

Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. Resident turnover has averaged 2.5% annually with renewal retention above 93.9%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 8.11% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $123,000 or approximately 7.80 per square foot, with real estate taxes representing the largest line item.

Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Effective gross income for the trailing period was $71,000, representing a 7.7% increase over the prior year. Debt service coverage ratio was 5.55x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.47% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.9% of collected revenue and are included in operating expenses.

Improvements Description

Mechanical systems include rooftop package units and central plant equipment of varying age. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Gatewood Apartments was originally constructed in 2005 and consists of 139 apartment homes in a building of 48 stories. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. The roof is a 15-year membrane system with an estimated remaining useful life of 11 years. Resident turnover has averaged 13.7% annually with renewal retention above 93.0%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Valuation Discussion

Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Debt service coverage ratio was 5.65x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $119,000, representing a 12.4% increase over the prior year. Operating expenses totaled $144,000 or approximately 25.50 per square foot, with real estate taxes representing the largest line item.

Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period. The going-in capitalization rate of 6.34% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 6.3% of collected revenue and are included in operating expenses. Resident turnover has averaged 13.8% annually with renewal retention above 93.7%.

Building Systems

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The roof is a 43-year membrane system with an estimated remaining useful life of 8 years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Mechanical systems include rooftop package units and central plant equipment of varying age.

Common area interiors have been refreshed within the last 11 years and are in average to good condition. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 37-year membrane system with an estimated remaining useful life of 12 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Gatewood Apartments was originally constructed in 2005 and consists of 139 apartment homes in a building of 29 stories.

Financial Analysis

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Lantern Terrace	0.3 mi	1975	1BR	$2,466.99	86.6%	None
Bayview Terrace	3.0 mi	2020	Inline	$2,716.69	96.3%	$500
Laurel Terrace	2.2 mi	1970	Studio	$2,336.69	96.8%	None
Pelican Apartments	3.0 mi	1971	Inline	$2,429.07	97.1%	None
Driftwood Commons	4.9 mi	1978	Bay	$2,651.28	94.2%	None
Sable Terrace	3.3 mi	2003	Unit	$2,598.03	86.2%	None
Wexford Lofts	1.4 mi	2001	2BR	$2,388.34	97.4%	1 mo. free
Indigo Lofts	4.6 mi	1973	Bay	$2,446.57	90.1%	1 mo. free
Westgate Terrace	1.8 mi	2007	Unit	$2,571.32	86.4%	None
Westgate Lofts	0.2 mi	2001	1BR	$2,342.32	97.0%	None
Westgate Commons	1.0 mi	1999	Suite	$2,299.32	97.9%	$500
Verde Villas	3.5 mi	2003	Suite	$2,731.31	95.8%	None
Brookside Lofts	1.5 mi	2006	1BR	$2,407.61	95.7%	None
Ivy Terrace	1.7 mi	1973	Bay	$2,797.37	91.1%	1 mo. free
Riverbend Residences	4.2 mi	2022	Inline	$2,387.77	98.0%	1 mo. free
Sterling Villas	2.1 mi	1971	1BR	$2,201.64	94.4%	None
Oakmont Apartments	2.8 mi	1974	2BR	$2,187.24	88.5%	None
Jasper Commons	0.9 mi	1982	1BR	$2,427.64	96.7%	None
Pelican Flats	1.8 mi	1984	Unit	$2,102.05	93.2%	1 mo. free
Cedar Flats	0.9 mi	1978	Unit	$2,297.74	93.2%	None
Dunmore Villas	0.6 mi	1975	Inline	$2,421.22	88.6%	None
Heritage Commons	3.7 mi	2015	Studio	$2,397.33	90.1%	None
Ironwood Residences	1.6 mi	2013	Inline	$2,743.24	91.4%	None
Tidewater Terrace	4.3 mi	1978	2BR	$2,066.69	89.2%	$500
Parkview Commons	2.1 mi	1987	1BR	$2,503.88	89.6%	1 mo. free
Juniper Lofts	1.4 mi	2009	Inline	$2,192.32	95.0%	$500
Maple Apartments	1.9 mi	1988	Inline	$2,787.91	87.9%	None
Zephyr Terrace	4.4 mi	1988	Suite	$2,758.53	88.5%	1 mo. free
Osprey Terrace	3.3 mi	2009	Unit	$2,345.78	95.2%	1 mo. free
Pinecrest Residences	1.6 mi	2006	1BR	$2,016.58	88.3%	None
Saddlebrook Terrace	4.0 mi	1976	Unit	$2,772.44	92.7%	1 mo. free
Beacon Flats	0.6 mi	2016	1BR	$2,297.92	93.3%	1 mo. free
Lockwood Flats	2.4 mi	2019	Suite	$2,203.95	87.2%	$500
Stonebridge Lofts	0.4 mi	2018	1BR	$2,358.17	92.3%	$500
Upland Residences	1.7 mi	1981	1BR	$2,181.68	87.4%	1 mo. free
Upland Terrace	4.3 mi	1977	1BR	$2,436.29	90.8%	None
Riverbend Commons	0.2 mi	1974	2BR	$2,530.55	96.4%	None
Pelican Flats	3.1 mi	1971	Suite	$2,636.44	88.8%	None
Vista Villas	2.3 mi	1985	Studio	$2,139.54	87.6%	None
Crestline Lofts	2.8 mi	2023	Unit	$2,675.69	94.4%	None

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Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 31th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Collections for the period were 88.7% of billed charges, with bad debt of 5.9% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 22 hours.

Service requests are tracked through a work-order system with an average completion time of 44 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 11 additional team members. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Demographics and Employment

Rent growth in the submarket has averaged 7.6% annually over the past 9 years. Median household income within a 6-mile radius of the property is approximately $357,000 and has grown 9.3% annually. Employment growth is led by healthcare, logistics, education and professional services sectors. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Gatewood Apartments is located in Aurora, CO, a market that has recorded 2.5% population growth over the last five years.

Median household income within a 2-mile radius of the property is approximately $172,000 and has grown 5.1% annually. Investor demand for Multifamily assets in Aurora remains strong with recent trades at capitalization rates between 7.75% and 7.75%. Market vacancy for comparable Multifamily product stands at 11.4%, down from 5.7% two years ago. Rent growth in the submarket has averaged 5.4% annually over the past 8 years.

Management Commentary

Collections for the period were 92.0% of billed charges, with bad debt of 5.6% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 35 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day. Resident turnover has averaged 11.2% annually with renewal retention above 96.1%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 15 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members.

Market Overview

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The Aurora Multifamily market has experienced absorption of 2600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Gatewood Apartments is located in Aurora, CO, a market that has recorded 13.4% population growth over the last five years. Rent growth in the submarket has averaged 6.5% annually over the past 4 years.

Market vacancy for comparable Multifamily product stands at 8.8%, down from 4.0% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. Gatewood Apartments is located in Aurora, CO, a market that has recorded 13.6% population growth over the last five years. The Aurora Multifamily market has experienced absorption of 2900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Resident turnover has averaged 6.3% annually with renewal retention above 92.1%.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day. Resident turnover has averaged 8.3% annually with renewal retention above 94.1%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members. Collections for the period were 90.7% of billed charges, with bad debt of 6.2% of gross potential income.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The manager completes a monthly walk of the property and submits a variance report to the owner by the 3th business day. Resident turnover has averaged 3.7% annually with renewal retention above 96.1%. Service requests are tracked through a work-order system with an average completion time of 39 hours.

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Business Plan Progress

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Resident turnover has averaged 5.7% annually with renewal retention above 92.6%. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns.

Projected levered IRR is 6.9% with an equity multiple of 1.20x over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Demographics and Employment

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Rent growth in the submarket has averaged 3.5% annually over the past 8 years. Investor demand for Multifamily assets in Aurora remains strong with recent trades at capitalization rates between 7.85% and 7.85%.

The Aurora Multifamily market has experienced absorption of 1700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Gatewood Apartments is located in Aurora, CO, a market that has recorded 3.6% population growth over the last five years. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Employment growth is led by healthcare, logistics, education and professional services sectors.

Investor Distributions

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Supply and Demand

Market vacancy for comparable Multifamily product stands at 4.3%, down from 5.0% two years ago. Investor demand for Multifamily assets in Aurora remains strong with recent trades at capitalization rates between 6.16% and 6.16%. Resident turnover has averaged 6.6% annually with renewal retention above 92.2%. Median household income within a 1-mile radius of the property is approximately $400,000 and has grown 4.4% annually. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet.

Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Median household income within a 7-mile radius of the property is approximately $140,000 and has grown 2.5% annually. The Aurora Multifamily market has experienced absorption of 900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Multifamily product stands at 13.9%, down from 3.5% two years ago. Rent growth in the submarket has averaged 4.7% annually over the past 7 years.

Investment Overview

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 10.9% annually with renewal retention above 88.1%. Distributions to investors for the quarter were paid at an annualized rate of 3.0% on contributed capital. Projected levered IRR is 13.4% with an equity multiple of 1.33x over the hold period. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Resident turnover has averaged 12.6% annually with renewal retention above 88.4%. Projected levered IRR is 3.2% with an equity multiple of 1.5x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Cobalt Flats	New Orleans, LA	03/12/2022	90	$32,709,755	$235,322	5.98%	2014
Dunmore Apartments	Birmingham, AL	06/15/2023	129	$30,938,149	$222,577	7.18%	1980
Amberly Lofts	Portland, OR	10/08/2023	142	$24,765,552	$178,169	8.11%	1988
Pinecrest Villas	Houston, TX	01/28/2023	204	$21,202,927	$152,539	6.92%	2008
Crestline Commons	Cincinnati, OH	09/04/2023	183	$11,722,826	$84,337	5.95%	1979
Banyan Commons	Grand Rapids, MI	08/10/2023	73	$25,615,522	$184,284	6.59%	2011
Onyx Villas	Buffalo, NY	04/28/2026	169	$31,045,353	$223,348	6.49%	2006
Dunmore Commons	Greenville, SC	05/22/2025	198	$13,573,720	$97,653	6.48%	1988
Birchwood Terrace	Portland, OR	11/23/2024	110	$19,503,696	$140,314	5.52%	1980
Nautilus Terrace	Grand Rapids, MI	02/25/2024	178	$28,948,077	$208,260	5.62%	1991
Everett Residences	Minneapolis, MN	11/05/2025	163	$18,978,192	$136,534	6.76%	1995
Aspen Villas	Albany, NY	04/08/2025	88	$28,262,871	$203,330	7.33%	1984
Stonebridge Lofts	Portland, OR	01/25/2023	86	$15,735,693	$113,206	7.80%	1994
Saddlebrook Terrace	Houston, TX	07/27/2022	86	$13,575,241	$97,664	7.63%	1968
Heritage Villas	Buffalo, NY	06/18/2026	173	$26,652,224	$191,743	5.69%	1992
Cobalt Villas	Pittsburgh, PA	12/15/2022	185	$24,003,873	$172,690	6.18%	1968
Ivy Terrace	Austin, TX	10/26/2024	182	$24,511,902	$176,345	5.97%	1997
Keystone Apartments	San Diego, CA	03/02/2024	205	$10,352,810	$74,481	5.48%	2002
Cypress Villas	Louisville, KY	09/02/2025	197	$33,561,427	$241,449	8.05%	2010
Ivy Villas	Cleveland, OH	01/07/2024	105	$21,056,821	$151,488	5.43%	2004
Cedar Villas	Cincinnati, OH	06/24/2026	75	$12,202,222	$87,786	6.48%	2014
Windmill Residences	Omaha, NE	02/05/2025	120	$21,143,878	$152,114	7.14%	1965
Indigo Flats	Hartford, CT	05/27/2024	174	$25,192,754	$181,243	8.09%	1997
Palisade Flats	Houston, TX	10/15/2025	203	$12,234,494	$88,018	5.79%	2008
Kestrel Apartments	Houston, TX	05/24/2023	195	$27,441,817	$197,423	7.31%	1993
Quincy Commons	Omaha, NE	08/18/2024	80	$27,499,366	$197,837	8.12%	1986
Orchard Residences	Austin, TX	02/12/2023	152	$12,756,980	$91,777	7.62%	1972
Fairmont Commons	Hartford, CT	02/14/2025	111	$12,593,937	$90,604	5.54%	1993
Ironwood Apartments	Dallas, TX	04/10/2026	89	$11,919,959	$85,755	5.63%	2010
Granite Flats	St. Louis, MO	02/10/2023	80	$9,829,403	$70,715	5.94%	2023
Dunmore Residences	Baltimore, MD	01/09/2024	77	$14,011,962	$100,805	7.61%	1979
Quarry Flats	Hartford, CT	11/08/2022	145	$24,617,359	$177,103	8.19%	1971
Lantern Terrace	Salt Lake City, UT	03/21/2024	172	$27,619,703	$198,703	6.18%	1970
Banyan Residences	Grand Rapids, MI	04/09/2022	186	$32,329,719	$232,588	6.45%	1984
Meridian Villas	New Orleans, LA	07/01/2022	171	$18,214,081	$131,037	7.06%	2012
Cypress Apartments	Memphis, TN	03/25/2024	97	$21,776,457	$156,665	7.63%	1999
Onyx Commons	Tempe, AZ	07/25/2026	89	$11,906,082	$85,655	6.81%	2018
Marlow Lofts	Memphis, TN	07/02/2025	169	$25,252,122	$181,670	7.26%	1966
Lockwood Residences	Albuquerque, NM	08/12/2022	91	$29,441,642	$211,810	8.05%	2002
Glenview Residences	Denver, CO	05/10/2024	151	$26,526,025	$190,835	6.05%	2002
Alder Terrace	Las Vegas, NV	01/21/2025	124	$25,086,762	$180,480	6.27%	1996

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Construction Details

Mechanical systems include rooftop package units and central plant equipment of varying age. Common area interiors have been refreshed within the last 9 years and are in average to good condition. Resident turnover has averaged 12.7% annually with renewal retention above 92.8%. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Mechanical systems include rooftop package units and central plant equipment of varying age. Common area interiors have been refreshed within the last 6 years and are in average to good condition.

Operating Performance

Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 7.04% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.40x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Operating expenses totaled $119,000 or approximately 35.71 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Resident turnover has averaged 3.2% annually with renewal retention above 95.8%.

Building Systems

The roof is a 4-year membrane system with an estimated remaining useful life of 9 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Mechanical systems include rooftop package units and central plant equipment of varying age. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Gatewood Apartments was originally constructed in 2005 and consists of 139 apartment homes in a building of 43 stories.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Mechanical systems include rooftop package units and central plant equipment of varying age.

Financial Analysis

Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.77% reflects the in-place income and the stabilized occupancy assumption. Resident turnover has averaged 4.0% annually with renewal retention above 93.2%. Management fees are calculated at 3.5% of collected revenue and are included in operating expenses.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period. Debt service coverage ratio was 7.88x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Construction Details

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 25-year membrane system with an estimated remaining useful life of 11 years. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Resident turnover has averaged 13.1% annually with renewal retention above 91.7%.

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Common area interiors have been refreshed within the last 9 years and are in average to good condition. Resident turnover has averaged 12.6% annually with renewal retention above 90.0%. Gatewood Apartments was originally constructed in 2005 and consists of 139 apartment homes in a building of 9 stories. The roof is a 42-year membrane system with an estimated remaining useful life of 7 years. Mechanical systems include rooftop package units and central plant equipment of varying age.

Valuation Discussion

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